



Oil and Natural Gas Corporation Limited Q3 FY'26 Earnings Conference Call

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Deen Dayal Urja Bhawan, Vasant Kunj

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Q&A PARTICIPANTS:

Mr. Probal Sen	: ICICI Securities
Mr. Varatharajan Sivasankaran	: Antique Limited
Mr. Mayank Maheshwari	: Morgan Stanley
Mr. Sabri Hazarika	: Emkay Global
Mr. Gagan Dixit	: Elara Securities
Mr. Vivekanand S	: Ambit Capital
Mr. Saket Kapoor	: Kapoor & Co.
Mr. Vikash Jain	: CLSA India
Mr. Ketan Mehta	: Baroda BNP Paribas MF
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Moderator

Good morning, ladies and gentlemen. I'm Maduri, moderator for conference call. Welcome to ONGC's Earnings Conference Call for quarter ended 31 December 2025. We have with us today, Shri Vivek Tongaonkar, Director - Finance, ONGC and team who will interact with the investors, and analysts to discuss Q3 earnings.

As a reminder, all participants will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing * and then 0 on your touch-tone phone. Please note that this conference is being recorded.

I would now like to hand over the floor to Shri Vivek Tongaonkar for his opening remarks.

Vivek Tongaonkar

Yes. Good morning, ladies and gentlemen. I am Vivek Tongaonkar, Director (Finance), ONGC. I welcome you all to this ONGC earnings call for Q3 FY26. Thank you for joining us. I'm accompanied today by my colleagues from ONGC, Mr. Satish Kumar Dwivedi, he is Chief of Joint Venture & Business Development; Mr. Ajay Kumar Singh, he is our President, Planning and Transformation; Mr. Prakash Joshi from Investor Relations Cell; and Mr. Shekhar Mohanty from our Corporate Accounts. We also have our colleagues from ONGC Videsh Limited, Mr. Bhishmadev Mandal and Mr. Basant Pasari. ONGC has compiled its financial results for the quarter and nine months ended 31 December 2025. The results were released on the 12th of February 2026 through a press note and shared with the stock exchanges and analysts. I'll now present the highlights of our performance.

ONGC's stand-alone crude oil production continues to show growth momentum. During Q3 FY26, production stood at 4.592 MMT, while the cumulative output for nine months FY26 reached 13.907 MMT. This reflects a modest increase of 0.35% over the nine months FY25. Stand-alone natural gas production in Q3FY26 registered an upward trend on YoY basis. This highlights ONGC's operational resilience. This improvement comes alongside the company's success in arresting the earlier trend of degrowth, with cumulative outlook for nine-month FY26 remaining steady, thereby reinforcing stability in the gas portfolio.

During this nine-month period of FY26, revenue from new well gas crossed INR 5,000 crores. This delivered an additional INR 944 crores compared to the APM gas price, reflecting the premium eligibility of new well gas. Notably, now the new well gas contributes over 18% of ONGC's total gas sales revenue, underscoring its growing significance in the company's portfolio. ONGC is actively working towards boosting the performance from new gas wells.

ONGC Board has declared a second interim dividend of 125%, amounting to INR 6.25 per equity share of INR 5 face value. This translates into a payout of INR 7,863 crores on top of the first interim

dividend of INR 6 per share, that is 120%, announced in November 2025. With these two payouts, ONGC has achieved a historic milestone. This is its highest ever cumulative interim dividend of INR 15,411 crores in a single financial year, underscoring our commitment to shareholder value.

With regard to KG-98/2, as you are aware, so far all the 26 wells have been drilled. I'm happy to share that as per the latest update, SURF, that is Subsea Umbilical, Risers, and Flowlines, and the subsea production system, SPS, these works are nearing completion. The central processing platform, together with the bridge-connected living quarters and utility platform have been fully installed. In January 2026, the main support frame, the living quarter module, was successfully pinned down on the LQUP jacket, followed by the installation of the living quarter unit, helideck and associated structures in February 2026. So, this series of completions represents a decisive push forward, reinforcing our confidence in unlocking the full potential of this strategic asset.

Coming to Mumbai High Field, the TSP-1 is already showing encouraging production gains. Additionally, Daman Upside Development Project in Western Offshore is also on track to be monetized soon with a peak gas output expected at 4 to 5 MMSCMD.

ONGC also has a robust pipeline of over 20 major development, redevelopment, and infrastructure revamp projects under execution, with a total combined CapEx of about INR 77,000 crores. These projects are designed to augment production, sharpen operational efficiency, which will ensure sustained growth. Importantly, four key infrastructure and revamp projects are slated for near term completion.

Recognizing the volatility in global crude prices and the need to sustain profitability in a competitive environment, ONGC has already adopted a structured enterprise-wide approach to efficiency and value creation. A dedicated cost council has identified multiple areas where structural improvements can deliver long-term benefits. Key focus areas where progress is there, include inventory rationalization, fuel efficiency, logistics optimization, manpower restructuring, and integration of renewable energy into operations.

We now come to financials.....

At the consolidated level, net profit grew by 23%, both on a quarterly and nine-month basis. It was INR 11,946 crores in Q3 FY26, up from INR 9,747 crores in Q3 FY25. For the nine-month FY26, the figure was INR 36,115 crores compared to INR 29,364 crores for the previous year's nine-month. This increase in profit can mainly be attributed to our subsidiaries, HPCL and MRPL.

Net profit for Q3 FY26 was INR 8,372 crores, up 1.6%, compared to INR 8,240 crores in Q3 FY25. For the nine-month FY26, standalone net profit was at INR 26,244 crores against INR 29,162 crores in the same period previous year. The increase in net profit during Q3 FY26 is on account of contribution from gas revenue, higher other income, and lower statutory levies. One point to note is

that in spite of the decline in crude oil prices, ONGC's net profit at both standalone and consolidated level has been upwards.

Sales revenue in Q3 FY26 declined primarily due to INR 2,145 crores drop in crude oil revenue and INR 710 crores reduction in value-added products, which was partly offset by increase of INR 505 crores in natural gas revenue compared to the same quarter last year. Crude oil prices have declined to U.S. \$61.63 per barrel in Q3 FY26 from U.S. \$72.57 per barrel in Q3 FY25, which adversely impacted our revenue. Crude oil and value-added products declined due to lower price realization, which was offset by an increase in natural gas quantity and price, resulting in a net decrease. The rise in gas revenue was driven by incremental revenue of INR 294 crores from New Well Gas sales during Q3 FY26 and incremental revenue of INR 944 crores for the nine-month period.

During Q3 FY26, statutory levies stood at INR 5,975 crores, down from INR 6,630 crores in Q3 FY25, which was a reduction of INR 655 crores, that is 9.9%. This decline is primarily attributable to lower royalty and sales, driven by the decrease in average crude oil sales revenue.

Operating expenditure in the third quarter FY26 stood at INR 7,151 crores compared to INR 6,563 crores in the same quarter last year, which is an increase of 9%. This rise is primarily attributable to our Dahej plant, where LNG consumption grew significantly from 7.68 million MMBtu in Q3 FY25 to 11.31 million MMBtu in Q3 FY26. Also, there has been an increase in GST on oil services from 12% to 18%, and we have worked diligently to keep our operational costs flat through disciplined cost management even in this challenging fiscal environment.

There is a decrease of INR 168 crores, that is 2.5% in DD&I cost, which was INR 6,778 crores in Q3 FY25 to INR 6,610 crores in Q3 FY26. This is mainly on account of impairment reversal of INR 224 crores during the quarter compared to a small impairment loss of INR 4 crores in Q3 FY'25.

With this strong operational execution, strategic progress, and resilient financial performance, ONGC continues to reinforce its contribution in India's energy sector by working towards production growth. With this, I conclude my briefing on the third quarter results for FY25-26. We are now happy to take questions and answer them. Thank you.

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press * and 1 on your telephone keypad, and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again.

First question comes from Probal Sen from ICICI Securities. Please go ahead.

Probal Sen

Very good morning, sir. Thank you for the opportunity. I hope I'm audible.

Vivek Tongaonkar

Yes, yes.

Probal Sen

Sir, a couple of questions. Firstly, on the KG-98/2, thank you for updating us on the progress of the associated infrastructure. But just wanted to understand now, how are we looking at FY27 in terms of gas production ramp up? Can you share some numbers of where we expect production to be, maybe at the exit of FY27? Or over the year, what kind of average output we expect now? That was my first question.

Vivek Tongaonkar

Yeah. Your question is for KG-98/2 only?

Probal Sen

Specifically, yeah.

Vivek Tongaonkar

So, for KG-98/2, as I have mentioned, we have already installed all the outstanding modules that were pending, and which had held up the production of gas till now. Installation of those modules has completed. Currently, we are in the process of pinning them up, and the commissioning, etc., would take place. Subsequent to that, the wells would be hooked up to these platforms, and they would start to flow. So, we expect that the gas flow from these wells should start from the next quarter, which is from April to June onwards, and the gas would be ramped up. Coming towards the end of FY27, we would expect that this gas quantum should increase to 5 to 6 MMSCMD.

Probal Sen

Got it, sir. The peak guidance continues to remain at around 7-8 MMSCMD and shall happen sometime in FY'28 I think?

Vivek Tongaonkar

Yes. It continues to remain in that range.

Probal Sen

Okay. And oil production, sir, is already at around the level that we spoke. I mean, it is at around 25,000 to 30,000 bopd, as of now?

Vivek Tongaonkar

It is around those levels. Once all these works are completed, we do expect that the oil production also should stabilize, and we should have certain additional production coming up.

Probal Sen

And the peak there was guided to around 40,000 bopd, sir. Is that correct?

Vivek Tongaonkar

Yes, 35,000 to 40,000 bopd we had mentioned.

Probal Sen

Okay, alright sir. The second question was with respect to OPaL. Can you just share some numbers in terms of how OPaL's performance has been in this quarter? And any guidance that you can share of our credit

Vivek Tongaonkar

So, for OPaL, it has now stabilized. Operations are going on well. They have been operating at more than 90% of that capacity. The average capacity utilization in for nine month was 92%. Revenue from operations was INR 11,000 plus crores.

Probal Sen

Any EBITDA numbers that can be shared?

Vivek Tongaonkar

EBITDA was INR 353 crores for the nine-month period.

Probal Sen

Sir, INR 11,000 crores was also for the nine month period, right?

Vivek Tongaonkar

Yes.

Prakash Joshi

Probal, just one correction. INR 11,000 crores was for previous year. For this year, it was INR 9,790 crores.

Probal Sen

INR 9,790 crores was the revenue, and INR 350 crores odd was the EBITDA for the nine month period, right sir?

Vivek Tongaonkar

Yes, correct.

Probal Sen

So just a small follow-up here. After all the cleanup that has happened in terms of the debt and conversion to equity, what is the net debt now that is still sitting on OPaL's books, as of now?

Vivek Tongaonkar

It is around INR 23,000 - 24,000 crores rupees.

Probal Sen

So, is there any other measures that we are looking to do, sir, or now do we expect that the profitability is good enough to service the interest cost, which again, probably would still be a few -- around INR 1,000 - 1,200 odd crores on the books?

Vivek Tongaonkar

As far as profitability is concerned, we do expect that profitability should increase, because capacity utilization should also move up from now onwards, now that everything has been stabilized. Even petrochemical prices have started to move up, and therefore in the future for FY'27, we expect that the performance should be more positive than this current year.

Probal Sen

So, we don't expect to have to infuse any more capital into this as of now, sir?

Vivek Tongaonkar

No, no, no. We are not expecting anything on that side.

Probal Sen

Right, sir. One last question, sir. Any CapEx guidance and production guidance for FY27 overall...that you can share?

Vivek Tongaonkar

So, broadly ONGC will continue to have that CapEx of INR 32,000 to 33,000 crore. Focus would remain on exploration production as such. And for production also, we'll just give you those figures.

Ajay Kumar Singh

Yeah. Next year, we'll be producing or we are targeting to produce total of oil and gas. It's 42.5 MMTOE.

Probal Sen

For FY27, this is standalone numbers, right, or including JV?

Prakash Joshi

This is standalone production.

Probal Sen

Perfect. Thank you, sir, for the detailed answers. I'll come back in the queue. All done.

Vivek Tongaonkar

Yeah, thank you.

Moderator

Thank you, sir. The next question comes from Varatharajan Sivasankaran from Antique Limited. Please go ahead.

Varatharajan Sivasankaran

Thanks for the opportunity. So, if you can give some idea about the discoveries during the nine months and any reserve accretion which you can actually put the number to?

Vivek Tongaonkar

So, reserve accretion figures, we will be able to give on the yearly basis only. We normally do that on a yearly basis. We have had discoveries during this nine month period. If you want the total number of discoveries, we will give that separately. Prakash would be able to give it to you separately. We have been reporting it on quarter to quarter basis as such.

Varatharajan Sivasankaran

And any update on the OVL, especially Venezuela, Sakhalin, and Mozambique?

Vivek Tongaonkar

So, on Mozambique, the force majeure has been lifted. Already, work has started full-fledged over there on ground. So it is on track to start LNG production from FY'28 onwards. Venezuela, we are coming...

Varatharajan Sivasankaran

And about the CapEx, sir?

Vivek Tongaonkar

CapEx is same. There's no further increase on the CapEx now.

Varatharajan Sivasankaran

Venezuela?

Vivek Tongaonkar

On Venezuela, we understand that the U.S. government is progressively lifting sanctions or is in the progress of liberalizing the trade from Venezuela and maybe allow other countries also, companies

also to start operations over there. We are awaiting on those instructions as such, but the movement is in the positive direction. And we are hopeful that we should be in a position to restart our operations once the on-ground and the U.S. sanctions get lifted totally.

Varatharajan Sivasankaran

What is the money due sir, from there? From Venezuela?

Basant Pasari

USD 550 million around.

Vivek Tongaonkar

USD 550 million, and that is the dividend. For Sakhalin, we continue to move ahead along with Russian government also and with the help of the Russian and the Indian government, we are moving ahead. We have been advised that our share of equity has been secured in that company, which is a very positive step as far as ONGC OVL are concerned. And we are hopeful that during this coming year, we should be in a position to have a share of our held-up dividends, etc. Otherwise, the operations continue to happen over there in Sakhalin. So, production is happening over there. So, that is not an issue as far as the production part... operational part is concerned.

Varatharajan Sivasankaran

And will there be no change in the shareholding? What we were holding, it comes in line

Vivek Tongaonkar

Yes, there's no change. It would continue to be 20%.

Varatharajan Sivasankaran

Thank you, sir. One last thing about these production targets which we are indicating, there is a breakup of oil and gas separately as well and if possibly for FY28 as well?

Ajay Kumar Singh

Oil we are planning to produce near about 21 million ton, and gas is 21.5 million ton. This is a breakup between oil and gas. Total put together, 42.5 million ton. And we plan to increase the production more than what we are planning for 26-27. We are focusing on that, and we'll be forecasting on that.

Varatharajan Sivasankaran

Thank you, sir.

Moderator

Thank you, sir. The next question comes from Mayank Maheshwari from Morgan Stanley. Please go ahead.

Mayank Maheshwari

Thank you for the call, sir. On the production side, can you just give a bit of details around what's going on for the rest of the blocks apart from KG on production ramp? As well as I think we are still seeing consistent challenges, especially on the JV side on gas from a production perspective as well. So, what's going on there as well? If you can give us a bit of an idea of what are you expecting for this, for FY27 around production?

Yeah, in the MH field, already we have engaged the TSP, that's the technical support service provider, bp, and they already started giving the advice. And we have planned a number of wells to be drilled as identified jointly by ONGC and BP, and we are seeing the positive output from that area. So that is giving stability to ONGC production. Similarly, for Neelam, Heera, and B&S asset, oil production are more or less, steady is there. So, it is giving a desired production, what we envisaged.

And similarly for onshore Ankleshwar, Ahmedabad, and Mehsana asset, there we are drilling a number of wells that's targeted, and there also production is stabilized. So as such, we are very confident of achieving the target set for this year and as well as for next year 26-27.

Vivek Tongaonkar

So Mayank, additionally, the DUDP project, which is Daman Upside Project is on track. We are already confident that from March itself this would start flowing. Gas would start flowing from that project. DSF project comes up for the next year last quarter. So that is also on track. So, these are the two projects which are going on, well and would provide upside -- immediate upside, apart from that KG basin new gas, which is about to come up.

Mayank Maheshwari

Thank you for that. I think on bp, technical support that you have got, can you give us a bit more details around how much have you been able to kind of arrest the decline and what is going on there, and what are the positive outcomes that we've seen around that?

Vivek Tongaonkar

Yeah. So, our decline has been, if we can say, if I will stick my neck out and say that it has been arrested, because it is too early days. But yes, we have seen an uptick coming up. If the production that we are getting from MH Field where we have TSP or BP working with us, it is about more than 100% that what we had envisaged. So that production uptick has started to happen, and we expect that this should improve over the coming quarters.

So, BP's contribution has helped us increase oil and gas both from the MH field. And the MH field has given us nearly 7% higher. MH field only. I'm not talking about this now, so 7% higher than what we were expecting in this Q3 quarter than what we were expecting earlier on. So, it has been a positive play as far as we are concerned.

Mayank Maheshwari

So sir, is it fair to say that MH field where you had 8% to 10% decline rate is now only 2% to 3%? Is that the right sort of thinking?

Vivek Tongaonkar

It is becoming positive. By the quarter end I would be in a better position to give you the figures, the percentage wise and all that, but it has already turned positive.

Mayank Maheshwari

Got it. And so the second question was related to costs. You emphasized on how you are trying to control costs, and then I think previously the CMD had talked about that as well. So, in terms of targets that you've given earlier on cost controls, how much of that have you been able to kind of get to, and what do you think will get achieved in FY'26 and FY'27?

Vivek Tongaonkar

So, those targets have not been met because the year is not yet closed or the period that we are talking about has not yet completed, but we are on track to do that. We have reduced our inventory. We have also taken structural steps to reduce costs in the long run. We have also started off with Pipavav Port operations, which reduces our logistics cost as far as the deployments are concerned for the Northern part of Mumbai High field.

We have also optimized on the diesel consumption, and actions have been taken over there. We have been taking action on reduction in our costs as far as manpower and security is concerned. So, those things have already started to translate into savings, which would be reflected in the annual figures as such. We are also transitioning to renewable energy, our own generated power or green

power that we will be using, which will reduce our power bills also. So, all these are on track, and the results should get reflected in this annual or this last quarter onwards further on.

Mayank Maheshwari

Got it, sir. Thank you. Very helpful.

Vivek Tongaonkar

And if you see, in spite of the crude prices going down very substantially, we have been able to report positive figures, both for the third quarter, as well as for the nine month period.

Mayank Maheshwari

Yes. Thank you, sir. Really helpful.

Moderator

The next question comes from Sabri Hazarika from Emkay Capital. Please go ahead.

Sabri Hazarika

Yes. Good morning. So, I have a few questions. First one is, there has been some decline on the share of NWG from 21% to 18% as per your press release. So, is it -- I mean, can you explain, give more color on that?

Prakash Joshi

So Sabri, what I was referring was, is that 18% -- 21% was on the six monthly basis. Now, if you consider that nine month production, on that basis, it is 18%.

Sabri Hazarika

Okay. And it is also on revenue, I have seen this. So it's fine, actually.

Vivek Tongaonkar

Yeah. It's on revenue only.

Sabri Hazarika

Yeah. Second question is on this -- I think the Director (Production) in the India Energy Week mentioned some figure, 4,000 barrels per day of incremental production from this BP, TSP. Could you clarify this? It is too early to actually quantify it?

Vivek Tongaonkar

So, as I mentioned earlier that we have already seen positive results for MH field because of the TSP. The final quantification of which we'll be in a position to give you at the end of this year or during the annual figures as such. But yes, there has been a positive development in Mumbai High field, both for oil as well as gas.

Sabri Hazarika

Got it, sir. Third small question, what are the nine months spend on CapEx for the company?

Prakash Joshi

So, we have spent around INR 24,400 crores.

Sabri Hazarika

Right, sir. And, sir, last question is I think it's a regulatory question. So, we have seen that in the ORDA amendment, a lot has been stated about technical stability and all, but the government basically raised the GST in the budget sharply, and there is no input tax credit also. So, is there any relief that the company can seek based on the ORDA amendment or just accept it for now?

Vivek Tongaonkar

As far as this GST increase is concerned, we don't think it would be possible for us to get any relief under that ORDA act as such. Because GST act is particularly for all the goods. It's not necessarily for only oil and gas sector.

Sabri Hazarika

Okay. Anything related to MOPNG would be like that relief could be sought, but this is coming from financial.....

Vivek Tongaonkar

So all those things what was happening earlier on us those things would not happen. There would be no adhoc subsidy or windfall tax or something like that.

Sabri Hazarika

Got it, sir. Thank you so much, and all the best.

Moderator

Thank you, sir. The next question comes from Gagan Dixit from Elara Securities. Please go ahead.

Gagan Dixit

Yes. Thanks for taking my question. I have a question on this Daman Upside Development project. So, what is the expected gas contribution in FY27?

Vivek Tongaonkar

4 to 5 MMSCMD.

Gagan Dixit

Okay. So, full number, that we expect in FY27. Okay, sir.

Vivek Tongaonkar

Because our project is on schedule. Drilling also is already being done. Already some wells would get hooked up immediately. So, from March itself, we will have gas coming up.

Gagan Dixit

Okay, sir. My second question is, you mentioned four major infrastructure projects that's nearing completion. So, which are these and what is the incremental production that they unlock over that time, sir?

Prakash Joshi

So, the project which was mentioned, one was Daman, which already sir has spoken. The rest of the projects were infrastructure projects, what we are referring to. And Daman, actually if you see, it's already completed around 94%.

Moderator

The next question comes from Vivekanand S from Ambit Capital. Please go ahead.

Vivekanand S

Yes. Thank you for the opportunity. So, my first question is on the investments outside of E&P. So, you had invested in Ayana Renewables and you had highlighted targets for 2030 in terms of the gigawattage output that you expect from renewables. Can you give us an update on that and the CapEx commitment for FY27 FY28 each year? I believe your CapEx guidance is only for standalone. If you can help us with this number, that's question one. I'll ask the next one after this.

Vivek Tongaonkar

Okay. For Ayana Renewables, it continues to be on track -- it is producing electricity from wind farm and solar projects which are there already. The projects under execution continue to be executed and they should be completed within this coming financial year.

As far as the addition to all the targets that we are dealing with for 2030, yes, those stand at 10 gigawatts. It stands for 2030. And towards that end, we are already looking at projects which we could acquire. There is one project which we are setting up...300-megawatt project, solar project that we would be setting up as a greenfield on our own, ONGC as of now.

So, our targets remain in place, and we continue to be more or less on schedule for this thing. Would you like to add anything? That's it, Vivek. Anything further you want?

Vivekanand S

So, is there any CapEx guidance you want to provide for FY2728 as far as renewable investments?

Vivek Tongaonkar

For this renewable, it would be more of, whenever we get opportunity, we would be making those acquisitions or taking over those projects. So we have not kept a target, but we are open for up to 10 gigawatts, we will be working on that. So, CapEx is not a problem for us.

Vivekanand S

Okay. The next question is on the petrochemical investment plans. So, you had been in talks to set up a greenfield refinery in Prayagraj in UP. And more recently, I think Chairman sir also commented about the petrochemical story in the India Energy Week. Any concrete plans or any thoughts that you want to share here with respect to the negotiations for the Prayagraj land parcel, the investment outlay that you are planning, and any timelines? Thank you.

Satish Kumar Dwivedi

We're already working on the various projects. We are contemplating and working with the partners. But still, as of now, no concrete plan has been declared. As regards to Prayagraj, there is a land parcel available with the BPCL. So, we are in the talks with BPCL and with the UP government. The plans are being worked out. Techno economics are being worked out, but no firm plan as of now.

Vivekanand S

Okay. Thank you, and all the best.

Vivek Tongaonkar

Thank you.

Moderator

Dear participants, if you have any questions, please press * and 1 on your telephone keypad.

The next question comes from Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor

Sir, the question is pertaining to the CapEx part from the PSU. When we are looking at your ancillary companies, suppose a pipe manufacturer, the seamless pipes, or the drill price or the rig prices, everywhere we have seen softness. And also when we look at our historical data, there are quarters post the December when there is lot of demand being generated from the existing fields in terms of the pipe orders being tendered. So that has not been the case for the current year. So, can you give us some outlook on your spending on the pipes for the rigs, for the wells which are already in output? Just to improve the output there?

Vivek Tongaonkar

Yeah. So, our CapEx program is on track. As we have already mentioned, we continue to have CapEx of ~ INR 32,000 crores for our company. And as far as our ordering, etc. is concerned, it is on track for meeting our CapEx as such. So, we are not in a position to comment upon what about the other companies are concerned.

Saket Kapoor

Right, sir. But when we hear the output part, the oil output from the country are on a declining trend also. Correct me there if my statement is incorrect. So going forward, what should be the output

guidance from the management in terms of the existing oil field and also which are in the exploratory stage?

Vivek Tongaonkar

So, as we have already mentioned earlier on, 42.5 MMT is the oil and gas equivalent that we are targeting for this coming financial year.

Saket Kapoor

Great, sir. Sir, I'll join the queue. Thank you.

Vivek Tongaonkar

Thank you.

Moderator

The next question comes from Vikash Jain from CLSA India. Please go ahead.

Vikash Jain

Hi, sir. Thanks for taking my questions. Sir, just a little bit more details on each of these production projects and where they would take us if we try and visualize quarter by quarter or half by half. So, KG-98/2, you said production should start flowing in a couple of months, starting April to June, that quarter. And the ramp up, the incremental 5-6 MMSCMD, I think we are already at about 2 MMSCMD or so. So the incremental 5-6 MMSCMD will take three to four quarters. Is that what you said?

Vivek Tongaonkar

Yeah. until April we will be doing this ramp up, etc., and subsequently it should start coming up to 3-5 MMSCMD. Additional I am talking about

Vikash Jain

And Daman, you said the start will happen in March, and it will ramp up to the 4-5 MMSCMD very quickly, I mean, within a couple of months itself? Is that the likelihood of that or?

Vivek Tongaonkar

In the July quarter it should definitely be there.

Vikash Jain

So, all-in-all put together, say sometime by between December FY'26 and March '27... so say by July quarter we'll have an extra 4-5 MMSCMD from Daman. About a 1-2 MMSCMD from KG-D6 by June-July, and then somewhere by the fourth quarter we could have a total of incremental 10 MMSCMD from these projects, right?

Prakash Joshi

Yeah. Because by that time Vikash ji, our TSP would be also there. So more positive things we can expect there.

Vivek Tongaonkar

Your understanding, Vikash, is broadly in line.

Vikash Jain

Yeah. And sir, MH field coming back, I just wanted to -- maybe I was thinking very quantitatively. When you people were saying that it has turned positive to the question that what is the decline rate? Is it that you've been able to arrest the decline as compared to the earlier rate of over 7%, 8% decline of the MH field? Is that what you mean by this turned positive, or is it just that the decline rate has reduced? Because maybe I was thinking too quantitatively about the positive format.

Vivek Tongaonkar

No. Positive is positive, in the sense that it is the decline has been arrested. There has been an addition to that, but the figures we'll give you at the end of the year.

Vikash Jain

Okay. And so just to understand, so this field was declining at over, left to itself about 6%, 7% every year or more. Was that the case?

Vivek Tongaonkar

So, broadly what happens is, you estimate a decline, because you can't project how much the field will decline over a ten-year period. So broadly, it was being said that this is declining from 6% to 8% annual basis. That is what you were expecting this field to decline. And accordingly, we had looked for getting measures to arrest that decline.

There was a profile which was agreed to between BP and ONGC that this would be the base profile if we do nothing case sort of. This is how the production would decline, and now, we are getting production. So, BP is actually to give us production beyond that decline, what they have committed is 10 MMT over a period of ten years.

Vikash Jain

Okay. So, you can say that the early gains have already started, because versus your projected production levels, we are doing better.

Vivek Tongaonkar

Yes. So, if you remember, I have been saying for the last two quarters that we are expecting the TSP to give us positive results from the fourth quarter of this financial year, which we are already seeing it. And for the year end, I think we should be in a position to give you those figures also.

Vikash Jain

Sure. And new well gas, not talking about nine months, not talking about six months, but if I were to look at the exit rate right now and maybe whenever the next recognition of incremental production is, say, April or somewhere, that new well gas would be what share of output, say, from around April, as per your best guess?

Vivek Tongaonkar

So, we would expect that every year or every quarter, this percentage of new well gas should increase, because what happens is for the existing fields, we would be working over the existing wells. If they stop, we will work over them, or we will be doing certain other jobs. We will increase production from the existing wells and the field, so that becomes the new well gas. What we are expecting is that we should have an increase in 2027. Now we are at 18%. We should increase up to 24% or something like that.

Vikash Jain

Sorry. 24% from April onwards? Yeah, new well gas..... Over the next three to four quarters, as you were saying. Sure, sir. Understood. And sir, just to get a confirmation on the pricing, KG-98/2 will of course be HPHT, and Daman will be what price?

Prakash Joshi

NWG.

Vikash Jain

NWG pricing. Yeah, okay. Thank you so much, sir. Those were all my questions.

Moderator

The next question comes from Ketan Mehta from Baroda BNP Paribas. Please go ahead.

Ketan Mehta

Thank you, sir, for the opportunity. In our target for FY27, it's 42.5 million ton. What are we assuming about the bp at this point of time? Is it a continuing decline or a zero decline for FY27?

Vivek Tongaonkar

Sorry, I'm didn't get your question.

Ketan Mehta

I was asking in terms of the Mumbai High production field, what is our assumption for FY27 when we have shared in our target 42.5 million ton?

Vivek Tongaonkar

So, for 42.5 million ton, we have not considered any contribution from this TSP project.

Ketan Mehta

That would be an upside?

Vivek Tongaonkar

Yes, it would be an upside.

Ketan Mehta

Sure. And in terms of the BP TSP, would you be also able to share the number of wells that we plan to drill and what would be the investment during FY27?

Vivek Tongaonkar

No. As of now, no. Because that is still work in progress, what we are doing. And once that gets finalized, then only we will be in a position to communicate the details about the same, which we

should most likely maybe in the annual results, we would be able to tell you. That's why I said figures also we would be able to tell you around that time.

Ketan Mehta

Sure. And in terms of the value creation that we are approaching, would we be able to give more color on what kind of numbers we can achieve during FY27?

Vivek Tongaonkar

For the production figures, are you asking me?

Ketan Mehta

Efficiency and value creation bucket that we have spoken about.

Vivek Tongaonkar

On the cost control?

Ketan Mehta

Cost control. Yes.

Vivek Tongaonkar

So, we are targeting that we should be reducing our cost by around INR 1,000 crores by the various measures that we have undertaken now.

Ketan Mehta

So, this is additional INR 1,000 crores target over and above the measures that has been undertaken during FY26. Is that the right the right thing?

Vivek Tongaonkar

It is a continuation of those measures that we have taken in ...

Ketan Mehta

Sure, sir. Thank you.

Moderator

The next question comes from Ramesh, an individual investor. Please go ahead.

Ramesh

Thank you. So, if you were to look at your new well gas, I understand that it's going up from 18% to 24%, right, in terms of the share of overall gas production. So, you will get the incremental upside in the gas price on the additional 6% on a weighted average basis, right, on your new well gas. Is that the right way to understand that?

Vivek Tongaonkar

There would be an increase in the percentage of this new well gas as a percentage of the total quantum of gas produced from the nomination fields. Another thing is that the price that we get would be 20% higher than the price that is given to the APM gas.

Ramesh

Yeah. So pricing, I understand. So basically, in terms of the growth for next year, you are expecting the share of your new well gas to go up from 18% to 24%. On that additional 6%, you will get the market-based price based on the 20% higher price, right? That's the way to look at that, right?

Vivek Tongaonkar

The market based price, we will be getting up to that 12% of the slope, Indian crude black.

Ramesh

Okay. And if you look at beyond '27, is there any further increase possible in the share of the new well gas to that?

Vivek Tongaonkar

Yeah. Normally, what we are expecting that every year, we should have additional incrementing gas, new well gas coming up from this nomination fields.

Prakash Joshi

Even if we maintain the production, we will have an uptick of around 7% or so. And in addition to that, let me tell you, currently, it is at \$6.75 per mmbtu from April 1. The ceiling for nomination field gas will also go up by \$0.25 per mmbtu, which will be at \$7 per mmbtu.

Ramesh

Okay. The second part is, if you look at your segment numbers, the petrochemical loss has come down. So, do you have any line of sight in terms of when you would be able to report a positive number for the segment results from the petrochemical segment given the kind of efforts you are put in to restructure the feedstock and improve the product mix? When do you see that happen?

Vivek Tongaonkar

With petrochemical prices moving up and with the other costs under control, we are quite hopeful that we'll continue to be EBITDA positive for the full year next year. And hopefully we should be turning the corner also.

Ramesh

So would that be visible from the first quarter itself or more likely from second half?

Vivek Tongaonkar

So, EBITDA positive, we're already EBITDA positive currently also. So, we'll continue to do that. Whether we turn the corner in the next quarter or the next year or subsequent, that would depend partly also on the petrochemical prices as such.

Ramesh

Okay. So, one last thought, if I might squeeze in. On the ethane sourcing arrangements you have with the ethane ship and the agreement with Petronet LNG, so I know you can't possibly get into the commercial terms, but in terms of the ethane sourcing, are you in a position to confidently have a line of sight in terms of the quantity you want? And what would be the pricing mechanism for that? Would you import it on a CIF basis because you have the ship, or how would you go about fixing the commercial terms? Because that could have an impact on the economics of using ethane for your petrochemical production. So broadly, in terms of the availability of the required quantities, what proportion of the naphtha you can replace and what would be the broad approach to the pricing?

Satish Kumar Dwivedi

Well, let me come back to you. See, the power plant uses basically two feedstocks, 60% naphtha, 40% ethane. So, we are trying to engage this 40% ethane beyond 2028. Terminal part has been fixed. Fixed shipping arrangement has been made, and we are in the process of fixing up the sourcing issue. So the quantity would be of the order of 600 kTPA. Pricing and all, we will declare at a later date.

Ramesh

Thank you very much. Wish you all the best.

Vivek Tongaonkar

Thank you.

Moderator

The next follow-up question comes from Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor

Namaskar, sir. Hello?

Vivek Tongaonkar

Yes, please.

Saket Kapoor

Sir, just I'm referring to two new discoveries for Suryamani and Vajramani. So where are we, sir, in terms of the exploration activities? And also for the Mahanadi Basin, sir, I think so some discoveries were made in the MN-DWHP-2018 Block. And sir secondly, we had some tie-up with the bp for improving yield from old oil fields How is the venture progressing? What is the capex on that?

Vivek Tongaonkar

Partnership with bp has started to give results. We will be in a position to declare the numbers at year end only. The results we have achieved till now are good and encouraging.

Ajay Kumar Singh

Regarding this Vajramani and Suryamani, the oil potential we have analyzed, and being the marginal field, we are evaluating various option, including a new way of installing the platforms, which becomes techno-commercially viable. Both are in the West Coast only.

Vivek Tongaonkar

So the Suryamani and Vajramani are both in the western offshore part of our field. So, discovery or the development part of it will take some time. We are currently doing that -- development plans are

being made up. Once those are finalized, we will be in a position to indicate how much is the cost or the CapEx that you will be incurring for these discoveries to be developed fully. These are still in the preliminary stage, and maybe in the next year we would be in a position to have our CapEx plans firmed up. We have to drill some of wells etc. So, all those things will be finalized, and then accordingly we'll prepare the development plans.

Saket Kapoor

In my previous question also, I have inquired about what kind of order tendering we have done in terms of especially the seamless pipe segment. If you can give me comparable numbers for the current financial year with the previous year? And for going ahead, what have we outlined in terms of CapEx that will be attributable to this category? I think that these are consumables for us, if you could just abreast on sir?

Vivek Tongaonkar

As of now, I would not be in a position to give you those figures off hand as such. Because normally, an analyst call will give you all details about what are the major plans, etc. We don't have those details with us. We'll have to get it.

Saket Kapoor

Okay, sir. I'll speak with them offline.

Moderator

So, the next question comes from Vivekanand S from Ambit Capital. Please go ahead.

Vivekanand S

Right, sir. Thank you for the follow-up opportunity. So, as far as OVL is concerned, can you give us an update on the dividends that you expect from there? And any status on the money that you should have by now repatriated to India? What is the status of that? Given the geopolitical tensions, I believe there was some money that was stuck there. That is question one.

And the second one, if you could repeat the update on the new well gas revenue contribution. I think Sabri had asked earlier that you had mentioned in the H1 results that the revenue contribution was 21%. But in nine months, the revenue contribution declined to 18%, suggesting meaningful fall in new well gas revenue contribution. Yeah, those are my two questions. Thank you.

Prakash Joshi

Vivekanand ji, we do have Mr. Rajarshi Gupta, who is the MD of ONGC Videsh. So, he would respond to your query.

Rajarshi Gupta

Very good morning to all of you. The question was asked earlier, and as we said that our interest in the Sakhalin project is secured. The productions and operations are normal. Some of the standard dividends of Vancouver from the other field which we are there, that has also been utilized for our internal resources. So, we are okay in that part of the world, and it's now more or less normal. Yes, the geopolitical tensions are going on, but we do hope that there will be a resolution sooner than later.

Vivek Tongaonkar

What was mentioned earlier was, it was already clarified, I think, that the -- it was on the H1. That 21% was on the H1 figure, and this 18% is on the nine month figure. So, for the H1, we had about INR 3,352 crores to be precise as the new well gas revenue upon a total revenue of INR 15,000 crores, which comes out to around 20%- 21%. Whereas in this case, in the nine months, it is 5,000 plus crores of new well gas upon a gas sales of 23,000 odd or 24,000 odd, which comes out to 18%. So, there has been incremental addition to the new well gas, but as a percentage of the total gas revenue, the percentage has come down. So, it is more of statistics than anything, but it moves upwards.

Vivekanand S

Right, sir. Why has it come down?

Vivek Tongaonkar

So, difference in the gas price. U.S. gas price and the other gas, etc.

Prakash Joshi

Vivekanand ji, we will just put out that NWG gas sales figure also, so that that would help you out to work out, okay?

Vivekanand S

Yes. I think that would be more helpful, because I think that might be related to HPHT contribution maybe.

Vivek Tongaonkar

It is possible.

Vivekanand S

But yes, it would be great if you can put that number out.

Vivek Tongaonkar

Yes.

Vivekanand S

Okay. Thank you so much.

Vivek Tongaonkar

Thank you.

Moderator

The next question comes from Somaiah V from Avendus Spark. Please go ahead.

Somaiah V

Yeah. Thanks for the opportunity, sir. Sir, the question is on the production output for FY27, the growth that we are building on a YoY basis. So, if you could just help us with, one, what is the natural decline rate that gets built in? Two, in terms of projects, Daman and KG Basin are the two major ones that we are factoring in for growth?

Vivek Tongaonkar

Yes. We've already mentioned this thing. I'll repeat it. For KG, we have already mentioned that all our modules have been installed, and now we are doing the hookup, commissioning, etc., will be carried out. And from this next year onwards, we should have the gas flow coming up, and we would have 4 to 5 MMSCMD from KG Basin in the next year.

For Daman Upside also, we have mentioned that our wells have been drilled. We are in the process of drilling. We are in the process of doing the jacket and well platform installation, etc. We are expecting first gas to come in from this March itself. And for the next year, we would have, again, another 4 to 5 MMSCMD of gas coming up from Daman upside project as such.

As far as the targets are concerned, whenever we give the targets, we do factor in whatever are the likely reductions or expected declines for those fields and the measures that we are going to take. So, it is not that we would have just a reduction coming up in all the fields. There would also be actions that you would have taken drilling of wells, you would have done EORs, etc., which would take care of the targets that are to be achieved.

Somaiah V

Sir, I just wanted to understand at the blended portfolio level, what would be the decline rate?

Vivek Tongaonkar

So, broadly, we consider -- you can consider that this would be around -- depending upon the fields, this can be around 6% to 7% or 8% decline on normal basis, but fields do behave differently. If you see other fields at other places also, declines have been very sharp. It depends upon the field. It depends upon how much you are extracting. It depends upon what processes you are using, vintage of the field, etc. Many factors which contribute to the decline in production for field as such. Broadly, we have been considering it to be between 6% to 8% as such.

Somaiah V

Got it, sir. So, the question on the projects was, are these two the only major projects that we are considering in FY27, or is there a few more projects that gets built into this FY27 outlook?

Vivek Tongaonkar

So, DSF-II project is coming up, which is again a gas in the West Coast, and we are expecting it to come on stream in the last quarter of the next year.

Somaiah V

Got it, sir. Okay. Thanks.

Vivek Tongaonkar

Yeah. Thank you.

Moderator

Thank you, sir. There are no further questions. Now, I hand over the floor to Shri Vivek Tongaonkar for closing comments.

Vivek Tongaonkar

Yes. Thank you very much, Maduri. Thank you all participants for being on the call with us, and we do hope that we would have replied to your questions. Any further details, you can be in touch with our IRC cell over here.

I would just like to mention that as we have been saying earlier in various calls, that TSP, we are expecting positive results or we would be getting certain results in the last quarter of FY26. I've already mentioned we are also getting positive results, and we would be in a position to quantify that at the end of this year.

Secondly, our KG Basin 98 /2 project, which had been delayed because of certain reasons, which we have now been able to install all the modules over there. The hookup commissioning works would be underway, and we do expect gas to start flowing from the beginning of this coming financial year.

DUDP is also on track. Our gas, we expect to flow from this March itself. So those are upsides that are there. And I think one major point -- one major decision which the board has also taken is to announce a dividend of INR 6.25 per share. Considered with the first interim dividend of INR 6 per share, the total amount that we are giving is 12.25 per share, which was the dividend that we had paid for the previous year. So, on an interim dividend basis, this is the highest cumulative interim dividend that we have paid. It signals that we are quite positive about the future of this company, and we are also taking care of our stakeholders so that they get optimum returns also.

So, we do hope that the stakeholders would also welcome this. This was one long standing demand from the investors also about the returns or the rewards that are given to the shareholders, and we think we would be in a position to reward the shareholders in the future also. Thank you very much.

Moderator

Thank you, sir. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's Conference Call Service. You may disconnect your lines now. Thank you, and have a pleasant day!

Note:

1. This document has been edited to improve readability
2. Blanks in this transcript represent inaudible or incomprehensible words.